

▶ Masterclass Day 1

Introduction to Financial Markets

The Blueprint to Wealth Creation. Welcome, Future Investors!

What is **Money**?

Before investing, we must understand the core unit of trade.

Money serves three vital purposes in our economy:

- » **Medium of Exchange:** It replaces the inefficient barter system, allowing seamless trade of goods and services.
- » **Store of Value:** It allows us to save purchasing power for the future (though inflation challenges this).
- » **Unit of Account:** It provides a standard metric to price assets, from a cup of coffee to a multinational corporation.



What is Wealth Creation?

Earning an income pays the bills, but it doesn't automatically make you wealthy. Wealth creation is a deliberate process.

It's the strategy of consistently buying and building assets that multiply in value and generate cash flow independently of your active labor.

The Ultimate Goal: To have your money work harder for you than you worked for it, ensuring financial freedom and beating inflation.



Saving vs. Investing

The Saver's Trap

Simply putting money in a bank account.

- ✗ Very low or zero risk to principal.
- ✗ Highly liquid (easy access to cash).
- ✗ **Drawback:** Returns are typically lower than the inflation rate, meaning you lose purchasing power over time.

The Investor's Edge

Deploying capital into assets for growth.

- ✓ Involves calculated risks for higher rewards.
- ✓ Leverages the power of compounding.
- ✓ **Advantage:** The only proven way to consistently outpace inflation and build long-term generational wealth.

Why the **Stock Market** Exists



Companies Need Capital

To build factories, hire talent, and expand globally, businesses need massive funding that banks alone cannot provide.



Investors Seek Growth

Everyday people and institutions look for profitable places to park their money to multiply their wealth over time.



The Bridge

The stock market is the regulated platform that safely connects these two parties, providing liquidity and fair price discovery.

The Ecosystem: Types of Financial Markets

Just like a supermarket has different aisles for groceries, electronics, and clothing, the financial ecosystem has specialized markets for different asset classes.

The **Capital** Market



Where Long-Term Wealth is Traded

The capital market deals with long-term debt and equity instruments (usually over 1 year).

It consists of two main sectors:

- » **Primary Market:** Where new securities are issued directly by companies to investors (e.g., Initial Public Offerings or IPOs).
- » **Secondary Market:** Where existing, already-issued securities are bought and sold among investors (e.g., NYSE, NASDAQ, NSE).

The **Money** Market



YEAR MATURITY

Short-Term Liquidity Hub

Unlike the capital market, the money market is exclusively for short-term borrowing and lending.

It involves highly liquid, low-risk instruments that mature in a few days up to one year. It's essentially wholesale borrowing by institutions.

Key Instruments: Treasury Bills (T-Bills), Commercial Papers, and Certificates of Deposit (CDs).

The **Debt** Market (Fixed Income)



Lending, Not Owning

Instead of buying a piece of a company (equity), you are lending your money to a corporation or government entity for a fixed period.



Predictable Returns & Lower Risk

In exchange for your capital, you receive regular interest payments (coupons) and the return of principal at maturity. It is generally safer than the stock market.



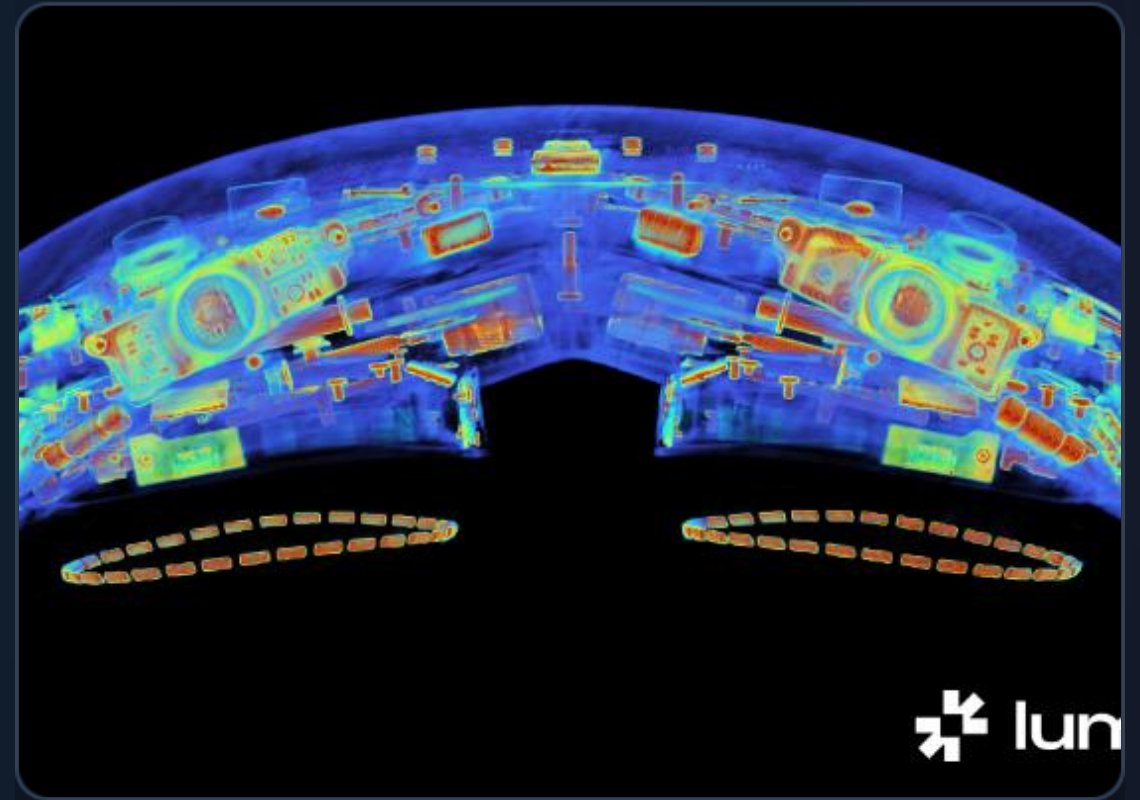
Core Instruments

Includes Government Bonds (highly secure), Corporate Bonds, and Debentures. Essential for diversifying and stabilizing an investment portfolio.

The **Commodity** Market

This market trades the raw, primary materials that drive the global economy, rather than manufactured goods or financial shares.

- » **Hard Commodities:** Natural resources that must be mined or extracted (e.g., Gold, Silver, Crude Oil, Natural Gas).
- » **Soft Commodities:** Agricultural products or livestock that are grown and nurtured (e.g., Wheat, Coffee, Sugar, Cotton).
- » **Purpose:** Used by producers for price hedging and by traders for speculation on global supply and demand dynamics.



The **Currency** Market (Forex)

The Foreign Exchange (Forex) market is the decentralized global market for trading national currencies against one another.

The Behemoth: It is by far the largest and most liquid financial market in the world, with trillions of dollars exchanged daily.

Mechanics: Currencies are always traded in pairs (e.g., EUR/USD). It operates 24 hours a day, 5 days a week, driven by global trade, tourism, and geopolitics.



Great Job on Day 1!

Tomorrow: History of the Stock Market.

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